

- capital incentives for banks to use central counterparties for over-the-counter derivatives;
- higher capital requirements for trading and derivative activities, as well as complex securitisations and off-balance sheet exposures (eg structured investment vehicles);
- higher capital requirements for inter-financial sector exposures; and
- the introduction of liquidity requirements that penalise excessive reliance on short term, interbank funding to support longer dated assets.

B. Introducing a global liquidity standard

34. Strong capital requirements are a necessary condition for banking sector stability but by themselves are not sufficient. A strong liquidity base reinforced through robust supervisory standards is of equal importance. To date, however, there have been no internationally harmonised standards in this area. The Basel Committee is therefore introducing internationally harmonised global liquidity standards. As with the global capital standards, the liquidity standards will establish minimum requirements and will promote an international level playing field to help prevent a competitive race to the bottom.

35. During the early “liquidity phase” of the financial crisis, many banks – despite adequate capital levels – still experienced difficulties because they did not manage their liquidity in a prudent manner. The crisis again drove home the importance of liquidity to the proper functioning of financial markets and the banking sector. Prior to the crisis, asset markets were buoyant and funding was readily available at low cost. The rapid reversal in market conditions illustrated how quickly liquidity can evaporate and that illiquidity can last for an extended period of time. The banking system came under severe stress, which necessitated central bank action to support both the functioning of money markets and, in some cases, individual institutions.

36. The difficulties experienced by some banks were due to lapses in basic principles of liquidity risk management. In response, as the foundation of its liquidity framework, the Committee in 2008 published *Principles for Sound Liquidity Risk Management and Supervision*.⁷ The Sound Principles provide detailed guidance on the risk management and supervision of funding liquidity risk and should help promote better risk management in this critical area, but only if there is full implementation by banks and supervisors. As such, the Committee will coordinate rigorous follow up by supervisors to ensure that banks adhere to these fundamental principles.

37. To complement these principles, the Committee has further strengthened its liquidity framework by developing two *minimum* standards for funding liquidity. An additional component of the liquidity framework is a set of monitoring metrics to improve cross-border supervisory consistency.

38. These standards have been developed to achieve two separate but complementary objectives. The first objective is to promote short-term resilience of a bank’s liquidity risk profile by ensuring that it has sufficient high quality liquid resources to survive an acute stress scenario lasting for one month. The Committee developed the Liquidity Coverage Ratio (LCR) to achieve this objective. The second objective is to promote resilience over a

⁷ Available at www.bis.org/publ/bcbs144.htm.

longer time horizon by creating additional incentives for a bank to fund its activities with more stable sources of funding on an ongoing structural basis. The Net Stable Funding Ratio (NSFR) has a time horizon of one year and has been developed to provide a sustainable maturity structure of assets and liabilities.

39. These two standards are comprised mainly of specific parameters which are internationally “harmonised” with prescribed values. Certain parameters contain elements of national discretion to reflect jurisdiction-specific conditions. In these cases, the parameters should be transparent and clearly outlined in the regulations of each jurisdiction to provide clarity both within the jurisdiction and internationally.

1. Liquidity Coverage Ratio

40. The LCR is intended to promote resilience to potential liquidity disruptions over a thirty day horizon. It will help ensure that global banks have sufficient unencumbered, high-quality liquid assets to offset the net cash outflows it could encounter under an acute short-term stress scenario. The specified scenario is built upon circumstances experienced in the global financial crisis that began in 2007 and entails both institution-specific and systemic shocks. The scenario entails a significant stress, albeit not a worst-case scenario, and assumes the following:

- a significant downgrade of the institution’s public credit rating;
- a partial loss of deposits;
- a loss of unsecured wholesale funding;
- a significant increase in secured funding haircuts; and
- increases in derivative collateral calls and substantial calls on contractual and non-contractual off-balance sheet exposures, including committed credit and liquidity facilities.

41. High-quality liquid assets held in the stock should be unencumbered, liquid in markets during a time of stress and, ideally, be central bank eligible.

2. Net Stable Funding Ratio

42. The NSFR requires a minimum amount of stable sources of funding at a bank relative to the liquidity profiles of the assets, as well as the potential for contingent liquidity needs arising from off-balance sheet commitments, over a one-year horizon. The NSFR aims to limit over-reliance on short-term wholesale funding during times of buoyant market liquidity and encourage better assessment of liquidity risk across all on- and off-balance sheet items.

3. Monitoring tools

43. At present, supervisors use a wide range of quantitative measures to monitor the liquidity risk profiles of banking organisations as well as across the financial sector, for a macroprudential approach to supervision. A survey of Basel Committee members conducted in early 2009 identified that more than 25 different measures and concepts are used globally by supervisors. To introduce more consistency internationally, the Committee has developed a set of common metrics that should be considered as the minimum types of information which supervisors should use. In addition, supervisors may use additional metrics in order to capture specific risks in their jurisdictions. The monitoring metrics include the following and